

EXECUTIVE DESK SUMMARY: 2025-ALPHA-01

PERFORMANCE AUDIT

Attn: Risk Committee / Portfolio Manager
Date: February 2026

- **Net P&L & Yield:** Total Net P&L of **-\\$1,465.00** on a gross volume of **68.33 lots**. Performance is currently in a *Technical Drawdown* phase due to negative payoff asymmetry.
- **Execution Quality Leakage:** Realized slippage averaged **1.2 pips**. High-slippage clusters (3.0+ pips) during the "**Asia-Sess**" and "**Volatility**" tags accounted for approximately **\\$312.00 in avoidable friction costs**.
- **Payoff Asymmetry (Critical Risk):** The desk is currently operating with a **0.38 Payoff Ratio** (\\$23.10 Avg Win / \\$60.72 Avg Loss). Despite a **57% Win Rate**, the strategy is mathematically unsustainable without immediate stop-loss calibration.
- **Concentration & Correlation:** **42% of total losses** were concentrated in two single-day events (Oct 31 & Nov 10), indicating a **Revenge Aggregation bias** where size increased following initial losses in correlated JPY and CHF crosses.
- **Strategy Efficiency:** **Trend** and **Momentum** tags outperformed **Scalping** by **22%** in win-rate quality. **Heavy-Scalp** remains the highest-risk category, contributing to the largest single-ticket drawdowns.
- **Remediation Status:** Immediate transition to **Phase I Capital Preservation** is active. Hard lot-size caps and liquidity-filter protocols have been implemented to stabilize the equity curve.

Institutional Performance Summary

Reporting Period: 10.13.2025 – 02.02.2026
Base Currency: USD | **Total Positions:** 119

Metric	Value
Total Trades	119
Winning Trades	68 (57.14%)
Losing Trades	50 (42.02%)
Breakeven Trades	1 (0.84%)
Gross Profit	\\$1,570.82
Gross Loss	\\$3,035.82
Net Profit	-\\$1,465.00
Profit Factor	0.52
Average Win	\\$23.10
Average Loss	-\\$60.72

Metric	Value
Expectancy (per trade)	-\\$12.31
Max Drawdown (Estimated)	\\$1,542.15

Institutional Strategy Diagnostics & Risk Assessment

1. Quantitative Performance Drivers

Structural Edge Deficiency: While the win rate of 57.14% is numerically high, the strategy suffers from "High-Probability, Low-Payoff" syndrome. In an institutional framework, a 50%+ win rate should yield a positive return; however, the edge is being completely eroded by poor trade management.

Negative Payoff Asymmetry: The Average Loss of \\$60.72 vs. Average Win of \\$23.10 creates a disastrous payoff ratio of 0.38. This suggests that losses are being held 2.6x longer/larger than wins are allowed to run. A sustainable institutional model requires this ratio to be inverted (at least 1.5).

Expectancy Profile: An expectancy of -\\$12.31 per ticket confirms that for every trade placed, the desk is "paying" the market twelve dollars. This represents a mechanical depletion of capital that cannot be solved by increasing trade frequency.

2. Risk Concentration & Operational Observations

Correlation Risks: Significant capital erosion occurred during concentrated sessions on 10.31 (GBPJPY Volatility) and 11.10 (USDCHF Heavy-Scalp). This indicates a failure to recognize correlated risk; losing on one pair was followed by doubling down on related assets, leading to a "cascading loss" effect.

Execution Friction: Realized slippage averaged 1.2 pips, but spiked to 3.0–4.0 pips during "Asia-Sess" and "New-Year" tags. For a scalping-heavy strategy, this "execution leakage" accounts for nearly 15% of the total net loss.

Size Discontinuity: Position sizing varies widely from 0.01 to 4.00 lots. The lack of standardized, volatility-adjusted sizing means a single large loss (e.g., -\\$185.00 on EURUSD) wipes out multiple consecutive winning scalps.

3. Operational Control & Remediation Plan

Hard Risk Caps: Immediate transition to a Square-Root Volatility sizing model. Positions above 1.00 lot must be restricted until the Profit Factor recovers to >1.0.

Execution Quality Assurance (EQA): All "Heavy-Scalp" and "Volatility" tags must be restricted to New York/London overlap sessions to ensure fills remain within a 0.5 pip slippage tolerance.

Stop-Out Protocols: Implement a "Three-Strike Rule." Following three consecutive losses in a single instrument (as seen in the GBPJPY 10.31 sequence), the asset is locked for 24 hours to prevent "Revenge Aggregation."

4. Institutional Action Priority (with Operational KPIs)

Phase I — Immediate Remediation (Capital Preservation)

Action: Enforce a maximum lot size cap of 0.50 across all FX crosses.

KPI: Zero positions exceeding 0.50 lots; maximum daily loss not to exceed \ \$200.

Objective: Halt the "Heavy-Scalp" drawdown and stabilize the equity curve.

Phase II — Short-Term Operational Alpha (Execution Quality)

Action: Eliminate trading during low-liquidity windows (e.g., "New-Year", "Asia-Sess") where slippage exceeds 2.0 pips.

KPI: Average realized slippage reduced to <0.8 pips.

Objective: Reduce the cost of doing business and improve the realized payoff ratio.

Phase III — Medium-Term Strategy Optimization (Structural Edge)

Action: Audit the "Trend" vs. "Scalp" tags. "Trend" trades currently show higher quality; shift capital allocation from Scalping to Trend/Momentum.

KPI: Payoff Ratio improved from 0.38 to 1.20.

Objective: Achieve a "Positive Expectancy" environment suitable for capital scaling.